EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines through the leadership of Juan De Salcedo. It was discovered as tribal community together with the Municipality of Buguey. And in 1877, the virtue of Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P.

The municipality is located at the center of the Province of Cagayan. It is approximately 66 kilometer from Tuguegarao City and 40 kms from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipality of Baggao and Alcala. It has 50 barangays and is classified as 1st class municipality with a land area of 70,750.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extend the powers of Local Government Units to include not only the ability to create other sources of funds but also give them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran, Cagayan for CY2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2017, with comparative figures for CY 2016, are as follows:

Particulars	2017	2016	Increase (Decrease)
Financial Condition			
Total Assets	₱369,993,293.17	₱318,245,413.68	51,747,879.49
Total Liabilities	55,844,937.58	60,813,108.33	(4,968,170.75)
Total Government Equity	314,148,355.59	257,432,305.35	56,716,050.24
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	231,382,293.32	207,637,376.31	23,744,917.01
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	176,410,590.46	163,625,537.91	2,645,731.80
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱227,241,971.40	₱213,558,000.00	₱13,683,971.40
Appropriations-Continuing	38,306,755.38	9,562,132.43	28,744,622.95
Allotments – Current	227,241,971.40	213,558,000.00	13,683,971.40
Allotments –Continuing	38,306,755.38	9,562,132.43	28,744,622.95
Obligations – Current	202,930,725.58	168,374,606.90	34,556,118.68
Obligations -Continuing	15,389,526.60	1,277,913.50	14,111,613.10

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2017 due to the following:

1. The accuracy, reliability and existence of the recorded Property, Plant and Equipment (PPE) account with a total carrying amount of ₱178,959,737.05 as at December 31, 2017 could not be ascertained due to the failure of the management to conduct physical count of its PPE, submit the corresponding inventory report and to maintain the PPE ledger cards.

2. The accuracy of some Property, Plant and Equipment (PPE) account with a carrying amount of ₱67,273,925.91 as at December 31, 2017 could not be ascertained due to the variance between the balances per financial statement and balances per PPE Lapsing schedule amounting to ₱472,216.55 which is not in consonance with Section 111 (2) of PD No. 1445.

3. The accuracy and reliability of the reported Cash in Bank-Local Currency, Current account totaling to ₱134,393,054.14 could not be relied upon because of non-preparation of Monthly Bank Reconciliation Statements for certain bank accounts which is not in conformity with Sections 74 and 111 of Presidential Decree (PD) 1445.

4. The accuracy and reliability of the reported Cash in Bank-Local Currency, Current account totaling to ₱72,836,181.68 could not be ascertained due to variance between the balances per books and statements of bank reconciliation amounting to ₱ 6,083,270.89 which is not in conformity with Sections 74 and 111 of Presidential Decree (PD) 1445.

D. Summary of Significant Observations and Recommendations:

1. The full ownership of the municipality over the five lots with a carrying amount of ₱ 2,066,730.00 could not be ascertained because these remained untitled in the name of the agency which is inconsistent to Section 148 of COA Circular 92-386 dated October 20, 1992 and Section 23(2), Title I-Book-V of the 1987 Administrative Code. In addition, two lots with a market value per tax declaration of ₱1,401,390.00 were registered under the name of the municipality but were not recognized in the books of the LGU which is not in consonance with Section 111 of PD 1445, thus, the amount of Land account presented in the financial statements is understated.

   We recommended that the General Services Officer to facilitate the preparation of documentary requirements to secure titles in the name of the municipality on the five untitled lots. The Land and Land Rights recorded in the books which were not supported with TCT and other legal documents of ownership should be properly disclosed in the notes to financial statements. Further, we recommended that the Accountant make the necessary adjusting entry to recognize in the books the two unrecorded lands registered under the name of the municipality.

2. Funds received from Philippine Health Insurance Corporation (PhilHealth) was recorded under the General Fund (Other Payable Account) hence, the said fund was not segregated and placed into special trust fund which is not consistent with Section 49 of the Revised Implementing Rules and Regulations of the National Health Insurance Act of 2013. Likewise, fund transfer amounting to ₱859,750.00 remained unrecorded in the books, hence affecting the reliability of the said account.

   We recommended that the Municipal Accountant make the necessary adjusting entries to reflect the appropriate classification of the fund and transfer the balance of the account into trust fund. In addition, the Municipal Accountant also reconcile its record with the Municipal Treasurer and update its books on the unrecorded amount of ₱859,750.00.

3. The existence, reliability and accuracy of the reported "Other Prepayments" account totaling to ₱1,330,032.23 could not be ascertained due to the absence of subsidiary ledger or any documents that would support said balance which is not in conformity with Sections 111 and 114 of Presidential Decree (PD) 1445.

   We recommended the Municipal Accountant exert extra effort to determine the existence of the "Other Prepayments" account amounting to ₱1,328,032.23 and thereafter, make the necessary adjusting entries to reflect the correct balances of the affected accounts.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ -	₱ -	₱ -	₱ -	0%
Current Year	-	-	-	-	0%
Total	₱ -	₱ -	₱ -	₱ -	**0%**
Disallowances					
Prior Years	₱31,200.00	₱ -	₱ -	₱31,200.00	0%
Current Years	-	-	-	-	0%
Total	**₱31,200.00**	₱ -	₱ -	**₱31,200.00**	**0%**
Charges					
Prior Years	₱ -	₱ -	₱ -	₱ -	0%
Current Years	-	-	-	-	0%
Total	₱ -	₱ -	₱ -	₱ -	**0%**

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the Nine (9) audit recommendations in the 2016 Annual Audit Report, four (4) were implemented, four (4) were partially implemented and one (1) was not implemented.